7. Identify the following items into capital or revenue.

(i) Audit fees paid ₹ 10,000.
(ii) Labour welfare expenses ₹ 5,000.
(iii) ₹ 2,000 paid for servicing the company vehicle.
(iv) Repair to furniture purchased second hand ₹ 3,000.
(v) Rent paid for the factory ₹ 12,000

(**Answer**: Capital: iv Revenue: i, ii, iii, v)



Sadhana decides to start a business of selling air-conditioners. She buys different brands of air-conditioners. She also buys a delivery van, some furniture and some tools to fix air-conditioners. She buys some stationery items and cleaning liquid. She spends some amount on advertising her shop. She records the entire amount spent in the trading account.

Now, discuss on the following points:

- Is it correct to record the entire amount spent in the first year of trading in the trading account? What impact will it have on the profit for the year?
- What are her fixed assets?
- Does she apply accounting concepts? If not which is the concept she does not apply?
- Can you help Sadhana to classify the expenditure?
- What other capital, revenue and deferred revenue expenditure her business may incur in the future?

To explore further

Do you think that the amount of the expenditure determines whether it is capital or revenue in nature? Justify.

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